Parshwanath Capital Ventures Fund
SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108
Fund Manager: CA Deep Dalal | **Sponsor:** Jignesh Shah

IPO ANALYSIS REPORT · RHP

Bombay Coated and Special Steels Limited

Mainboard · Steel processing centre (coated steel for appliances) · filed 2026-10-21 · lead manager(s): Smart Horizon Capital Advisors Private Limited · issue size Rs 183 cr · price band: Rs 78-82 · analysed 2026-10-27

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BUSINESS STAGE

Scaling (new plants built; filling capacity)

A four-plant steel processor feeding India's AC and refrigerator makers (FY26 revenue Rs 1,267 cr, up 20%; PAT Rs 30.5 cr), raising Rs 183 cr of fresh money mainly to repay debt, priced at 16.9x FY26 earnings after the issue (13.2x pro forma for lower interest), below the Rs 88 paid by investors in Oct-2025; fair value Rs 110 (Neutral) against Rs 82.

Revenue FY26 **₹1,267 cr** CAGR FY24-FY26: **29.5%**	PAT FY26 **₹31 cr** CAGR FY24-FY26: **20.2%**	EBITDA margin **6.8%** FY24: **6.5%**	Cash conversion (CFO / PAT, 3 yrs) **67.0%**
Cash tax rate (3 yrs) **19.6%**	P/E at reference (post-issue) **16.9x** peer median: **31.0x**	Adjusted P/E (earnings quality) **17.4x** reported: **16.9x**	Blended value (Neutral) **₹110.45** vs reference: **34.7%**
Reference price **₹82** Upper band Rs 82 (RHP; NSE issue page). At Rs 82: 2.23 crore new shares, 6.28 crore post-issue; market cap Rs 515.2 cr; P/E 16.9x FY26 EPS post-issue (10.7x pre-issue; 13.2x pro forma for interest saved); P/B 1.61x; EV/EBITDA 7.0x. Oct-2025 private placement was at Rs 88.			

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For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

At a glance

The call, the key numbers and the basis of the analysis.

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STAGE

Mainboard · RHP

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Basis. Book-built **fresh issue of Rs 183.06 cr** of Rs 10 shares; no offer for sale (p. 117). Price band **Rs 78-82**, lot 182 shares (Rs 14,924 at the upper band); anchor bidding 28-Oct-2026; bid/issue **29-Oct to 2-Nov-2026**; allotment about 3-Nov and listing about 5-Nov-2026 on NSE and BSE (p. 494). Sole BRLM Smart Horizon Capital Advisors; registrar KFin Technologies. Source: the **RHP dated 21-Oct-2026** (SEBI filing

> 105447), with restated standalone financials for FY24-FY26 and the quarter to **30-Jun-2026** (Q1 FY27, not annualised). Rs million in the RHP are converted to Rs crore. Printed page numbers are RHP pages (printed page = PDF page - 6).
>
> Judged at the **upper band, Rs 82**. Because the fresh issue is a fixed amount, the share count depends on the price; values below are at Rs 82 (2.23 crore new shares). Holding period assumed: 2-3 years. Grey market premium is not used. Written from an investor's point of view under the Fund's standing rules.

1. Business of the company

- **What it does:** a **steel processing centre**. It buys coated (colour-coated and galvanised) and hot-rolled steel coils and slits, cuts to length, shears and embosses them into slit coils and blanks for appliance and engineering manufacturers, with just-in-time delivery and inventory management for the customer (p. 239).
- **Who buys it:** OEMs and ODMs. Home and commercial appliances (air conditioners, refrigerators and similar) were 86.54% of FY26 product revenue and 89.93% in Q1 FY27 (p. 37). FY26 customers include Amber Enterprises (20.40% of revenue), Western Refrigeration (15.98%), Haier Appliances (8.70%), PG Technoplast (5.84%), Dixon (3.46%) and EPack Durable (1.76%); top-10 71.33% (p. 35).
- **Supply:** an authorised service partner of **JSW Steel Coated Products** since 2021, which supplied 86.65% of FY26 coil purchases and 85.13% in Q1 FY27 (pp. 30-31). The agreement (1-Apr-2025) carries minimum purchase commitments and inventory norms, restricts buying coated products from other mills, grants no exclusivity, and can be ended by JSW on three months' notice (pp. 31-32).
- **Plants:** four facilities on 42,209 sq m at Wada and Bhiwandi (Maharashtra), Ghiloth (Rajasthan) and Sri City (Andhra Pradesh), each placed near appliance clusters (p. 240). FY26 installed capacity 2,38,020 MT slitting and 1,84,324 MT cut-to-length, used 60.6% and 58.7%; Q1 FY27 63.8% and 59.7% (p. 132). 160 permanent employees (p. 240).
- **History:** the founder, Vijaykumar Gupta, began steel trading as Bombay Steels in 1983 and started processing at Bhiwandi in 2012; the company took over the proprietorship business in January 2021 and has since added the northern and southern plants (p. 239).

Stage of the business

Classification: scaling: new plants built, now filling capacity.

Evidence	Reading
Revenue Rs 755.26 cr → Rs 1,055.71 cr → Rs 1,266.82 cr (29.5% CAGR FY24-26)	Rapid growth from new plants
Q1 FY27 revenue Rs 397.08 cr, 25% above the FY26 quarterly average	Growth continuing into the AC season
Installed capacity up 23.8% a year FY24-26; utilisation 59-64% in the main lines (pp. 132, 240)	Room to grow without new plants
Adjusted EBITDA margin 6.51% → 7.02% → 6.80% (Q1 FY27 8.10%) (p. 131)	Thin, as usual for processors; seasonally higher in Q1
Debt/equity 4.31x → 3.33x → 2.78x → 2.00x (Jun-26) (p. 132)	Expansion was debt-funded; the issue repays debt

2. Industry outlook

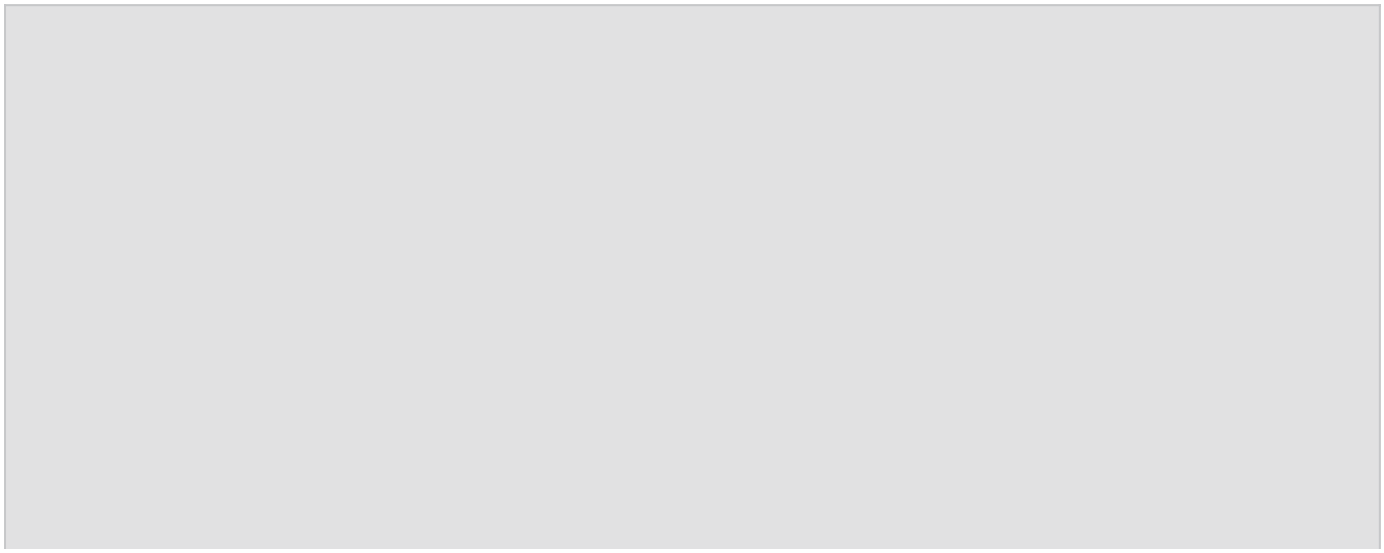
Industry figures are from the CareEdge report commissioned and paid for by the issuer (p. 239); we have not checked them independently.

- **Market:** India's steel processing centre market was about USD 8.2 bn in CY25, up from USD 5.4 bn in CY20, and is projected at USD 12.4 bn by CY30; the global market is USD 214.9 bn, growing 6.2% a year (pp. 185, 190).
- **Why processors exist:** mills sell coils in bulk; appliance and auto makers want precise sizes delivered just in time. Processors earn a conversion margin plus a logistics and inventory-carrying role, on thin margins and with working capital tied up in steel. The RHP cites capital needs, inventory, customer qualification and multi-location networks as entry barriers (p. 185).
- **Demand driver:** the shift of air-conditioner, refrigerator and component manufacturing to India under the white-goods production-linked incentive scheme, which concentrates demand around the clusters where the company's plants sit (pp. 143 onwards, 240).
- **Competition:** mill-owned service centres, other JSW service partners (JSW may appoint more in the company's regions, p. 31), independent processors (BMW Industries, Shiv Aum Steels) and coated-steel makers such as Manaksia Coated Metals (p. 130).
- **Read for an investor:** a volume business tied to appliance production and steel prices; returns come from utilisation, working-capital turns and customer stickiness rather than pricing power.

3. Moat and SWOT analysis

Moat

- **Service-partner status with JSW Steel Coated Products:** assured access to coated coils, the key input (p. 240).
- **Location next to customers:** plants beside the AC and refrigerator clusters of Amber, Western Refrigeration, PG Technoplast and EPack cut freight and lead time, and are hard to replicate quickly (p. 240).
- **Approved-vendor relationships** with large ODMs and OEMs, including Haier, Dixon and IFB (p. 240).
- **Limits:** processing is not proprietary; the JSW arrangement is non-exclusive and terminable, so the relationship that secures supply also concentrates it (p. 31).



STRENGTHS

- Plants inside appliance clusters in the West, North and South (p. 240)
- Authorised service partner of JSW Steel Coated Products since 2021 (p. 240)
- Revenue up from Rs 755.26 cr to Rs 1,266.82 cr in two years (p. 85)
- RoNW 25.12% and ROCE 16.40% in FY26 (pp. 130, 132)
- Adjusted EBITDA margin 8.10% in Q1 FY27 (p. 131)

WEAKNESSES

- PAT margin 2.41% in FY26 (p. 131)
- Debt/equity 2.78x (FY26); interest cover 2.4x on EBITDA (pp. 85, 132)
- 86.65% of coils from one supplier (p. 30)
- Appliances 86.54% of product revenue (p. 37)
- 25 delayed statutory filings (pp. 32-33)

OPPORTUNITIES

- Utilisation 59-64% in slitting and cut-to-length leaves room to grow (p. 132)
- India steel processing market USD 8.2 bn growing to USD 12.4 bn by CY30 (p. 190)
- Lower interest after Rs 125 cr debt repayment (p. 117)
- Engineering-sector blanks (p. 239)

THREATS

- Steel price volatility (p. 37)
- Appliance-sector slowdown and seasonality (p. 37)
- JSW may appoint competing service partners or terminate (p. 31)
- Customers buying from mill service centres (part 2)

4. Management analysis and governance

- **Leadership:** Vijaykumar Gupta, Chairman and Whole-time Director, 40+ years in steel; Nitin Gupta (his son), Managing Director, about 20 years in steel, who runs day-to-day operations and led the expansion into appliance OEM/ODM supply; Bhawna Gupta, Whole-time Director (pp. 286-288). CEO Shashi Rawat (with the company since 2022); COO Anish Arora (since Apr-2024, ex-Tata Steel); CFO Ashish Sonthalia (since Sep-2025; the previous CFO was re-designated Vice President); Company Secretary Sonam Gupta (pp. 303-305).
- **Board:** six directors: three promoter executives and three independent directors (Neelam Tater, Mihen Halani, Hemant Ostwal), all independents appointed on 21-Mar-2025 ahead of the IPO (pp. 286-288).
- **Ownership:** the promoters hold 97.78% before the issue (Nitin Gupta 78.22%) and about 63% after it; their average cost is Rs 1.25 to Rs 12.50 a share (pp. 105, 112). The Oct-2025 placement of 9,00,091 shares at Rs 88 brought in Moneyplant SME Fund and individuals (pp. 100, 103). Weighted average cost of all shares acquired in the last three years: Rs 2.59 (p. 113).
- **Pay:** three promoter directors drew Rs 0.66 cr in FY26; the CEO Rs 0.54 cr and the COO Rs 0.81 cr (pp. 89-92, 303). Modest for a Rs 1,267 cr revenue business.
- **Related parties:** the promoter family lends the company Rs 20.55 cr (Jun-26) at interest (Rs 3.08 cr in FY26) and rents it premises (Rs 0.52 cr in FY26) (pp. 89-92). GCP proceeds cannot be used to repay promoter or director loans (p. 118). Typical of a promoter-funded company.
- **Compliance record:** 25 statutory forms were filed late with the RoC over five years (with additional fees), and the 2021 allotment of 24.5 lakh shares to the founder for the Bombay Steels business transfer was filed under the wrong head without Form MGT-14. The adjudication application (6-Jan-2026) and a May-

2026 application to cancel the original form are pending before the RoC (pp. 32-33). Procedural and disclosed; no penalty yet.

- **Audit:** Shah Shah & Shah (peer-reviewed), no qualifications (p. 82).
- **Read:** a first-generation family business professionalising for listing: an experienced promoter team, modest pay, a strengthened second line (CEO, COO, CFO), and a board that is new. The filing lapses point to a back office that has lagged the company's growth; none is a material issue under the Fund's rules, but board oversight after listing is a point to watch.

5. Historical financials and ratios

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

Rs crore	FY24	FY25	FY26	Q1 FY27 (3 months)
Revenue from operations	755.26	1,055.71	1,266.82	397.08
Growth	n.a.	39.8%	20.0%	n.m.
Adjusted EBITDA (issuer KPI, excl. other income)	49.17	74.09	86.09	32.17
Adjusted EBITDA margin	6.51%	7.02%	6.80%	8.10%
Other income	10.15	2.94	3.01	0.47
Finance cost	25.96	31.24	35.71	8.63
PAT	21.14	28.67	30.54	15.08
EPS (Rs, basic, post-bonus)	5.34	7.24	7.64	3.72
Cash flow from operations	11.49	32.09	10.22	72.31
Capex	49.31	34.61	54.80	6.20
Inventory	84.32	115.73	189.33	125.46
Trade receivables	106.15	136.73	128.92	165.41
Borrowings	234.16	276.96	338.45	273.69
Net worth	54.36	83.05	121.58	136.62
ROE (issuer)	48.20%	41.76%	29.92%	11.65% (not annualised)
ROCE (issuer)	18.60%	18.78%	16.40%	7.01% (not annualised)
Debt / equity	4.31x	3.33x	2.78x	2.00x

Sources: pp. 84-86, 131-132. Adjusted EBITDA reproduces from the P&L: FY26 PBT 40.79 + finance cost 35.71 + D&A 12.60 - other income 3.01 = Rs 86.09 cr.

At the upper band (Rs 82): fresh issue about 2.23 crore shares; post-issue shares 6.2824 crore; market cap Rs 515.2 cr; P/E **16.9x** FY26 EPS on post-issue shares (10.7x pre-issue); post-issue net worth about Rs 320 cr (Jun-26 Rs 136.62 cr + proceeds), P/B 1.61x; EV Rs 606.7 cr (market cap + Jun-26 net debt Rs 274.64 cr including leases - Rs 183.06 cr proceeds), EV/EBITDA 7.0x. **Pro forma**, repaying Rs 125 cr of debt at about 9% would add roughly Rs 8.4 cr to annual PAT (FY26 pro-forma PAT about Rs 39.0 cr; P/E 13.2x at Rs 82). Debt/equity would fall to about 0.5x. The Oct-2025 placement was at Rs 88, above the band.

Positives and points to monitor

Positives	Points to monitor
Revenue 29.5% CAGR FY24-26 (p. 85)	FY26 growth slowed to 20% and margin dipped to 6.80% (p. 131)
Q1 FY27 margin 8.10%, PAT Rs 15.08 cr (pp. 85, 131)	Interest cover 2.4x on FY26 EBITDA (p. 85)
Q1 FY27 operating cash flow Rs 72.31 cr (p. 86)	Cumulative CFO 67.0% of PAT FY24-26 (p. 86)
Debt/equity down from 4.31x to 2.00x (p. 132)	Subsidy income 23% of FY24 PBT (p. 375)

Is the reported P/E right? Earnings quality at Rs 82

Reported P/E is a fair measure: the adjustments found move FY26 PAT by -3.1%, within the 10% threshold. On the FY24-FY26 average, which smooths one-year items, the P/E is 19.2x reported and 21.5x adjusted.

BASIS	PAT (RS CR)	EPS (RS)	P/E
Reported FY26	30.54	4.86	**16.9x**
FY26 after: state subsidy	29.31	4.67	**17.6x**
FY26 after: one-off other income	29.22	4.65	**17.6x**
FY26 after: insurance claims	29.22	4.65	**17.6x**
FY26 after: asset write-offs	29.59	4.71	**17.4x**
FY24-FY26 average, reported	26.78	4.26	**19.2x**
FY24-FY26 average, adjusted	23.97	3.82	**21.5x**

Items found (pre-tax, Rs crore; negative reduces profit)

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PAGE
Government subsidy received (in other income) Subsidy of Rs 6.39 cr in FY24 (23% of PBT), Rs 1.00 cr in FY25, Rs 1.65 cr in FY26 and Rs 0.40 cr in Q1 FY27. Real cash, but scheme-based and time-bound; the scheme and its remaining tenure are not stated.	-6.39	-1	-1.65	! YES	Medium	17.6x	p. 375
Continuous Production Scheme benefit, other income and gain on derecognition One-off Continuous Production Scheme benefit Rs 1.95 cr (FY24); gain on	-1.95	0	-0.12	! YES	Medium	16.9x	p. 375

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PAGE
derecognition Rs 0.09 cr and other income Rs 0.03 cr (FY26).							
Insurance claims received Insurance claims Rs 0.11 cr (FY24) and Rs 0.55 cr (FY25); non-recurring.	-0.11	-0.55	0	! YES	High	16.9x	p. 375
Assets written off and loss on sale of PPE (one-off charges) Assets written off Rs 0.47 cr and loss on sale Rs 0.03 cr in FY26; one-off charges, added back so the test stays two-sided.	0	0	0.5	! YES	Medium	16.7x	p. 86
Interest on bank deposits Mostly on margin-money deposits backing letters of credit for coil purchases, so tied to operations. Shown for information.	-1.68	-1.34	-1.11	No (information)	High	17.3x	p. 375
Pro-forma interest saving on Rs 125 cr of debt repaid from the issue (at about 9%) Not an accounting adjustment: the earnings after the issue repays Rs 125 cr of borrowings.	0	0	11.25	No (information)	Medium	13.2x	p. 117

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED
For information.						

Also checked, no adjustment needed

✓ PASS Capital work in progress Rs 5.45 cr (FY26) and Rs 6.99 cr (Jun-26) relates to new processing lines; no capitalised borrowing or development cost disclosed (p. 84)

✓ PASS No intangibles or goodwill on the balance sheet (p. 84)

✓ PASS Expected-credit-loss charge nil in FY26; no large write-backs in other income (pp. 86, 375)

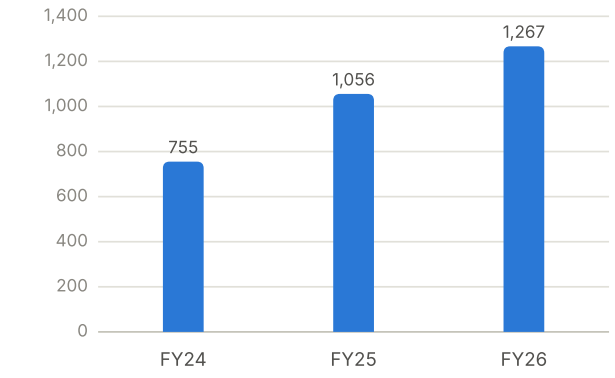
✓ PASS No exceptional items in FY24-26 or Q1 FY27 (p. 85)

✓ PASS Profit taxed in cash: current tax 19.6% of cumulative PBT, deferred tax from accelerated depreciation (p. 85)

✓ PASS Q1 FY27 operating cash flow Rs 72.31 cr shows working capital is released after the season build (p. 86)

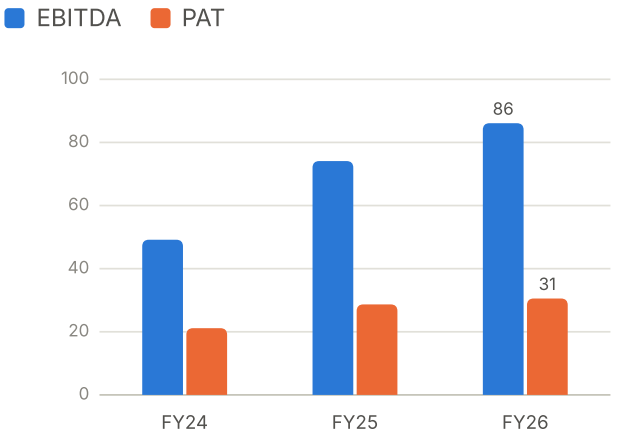
Revenue from operations

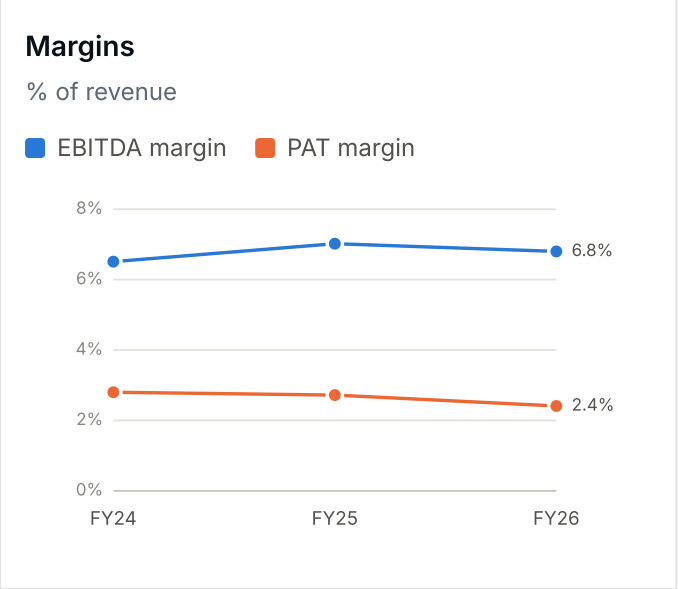
Rs crore

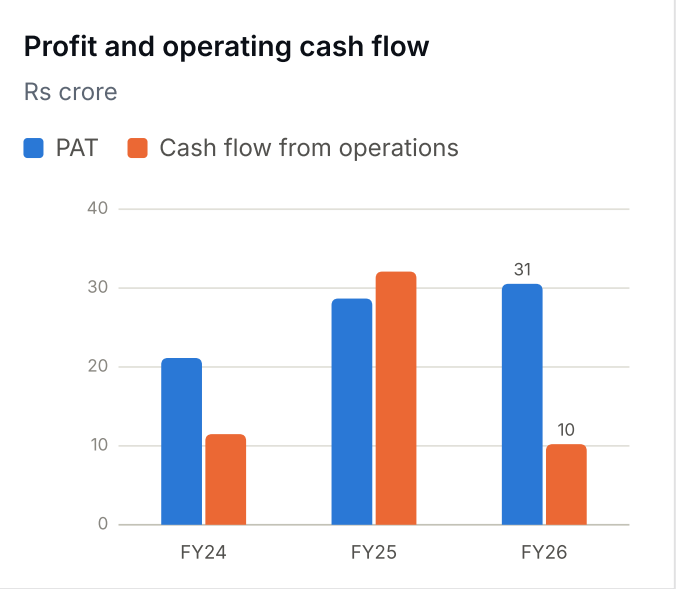


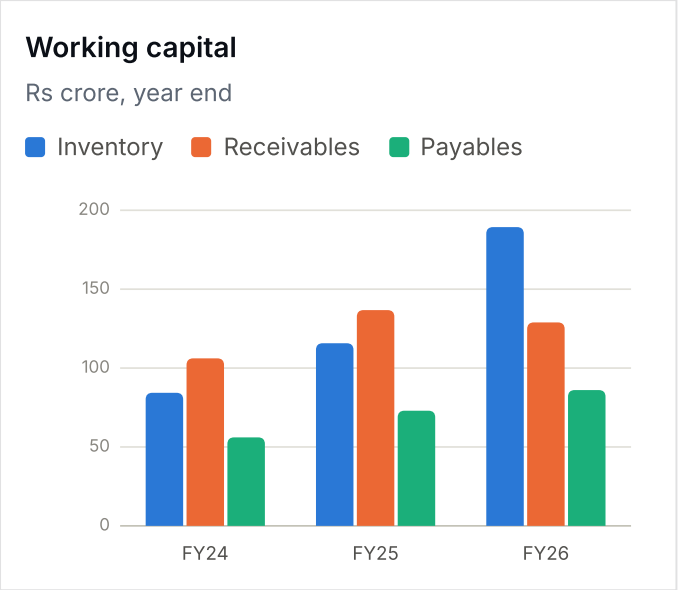
EBITDA and PAT

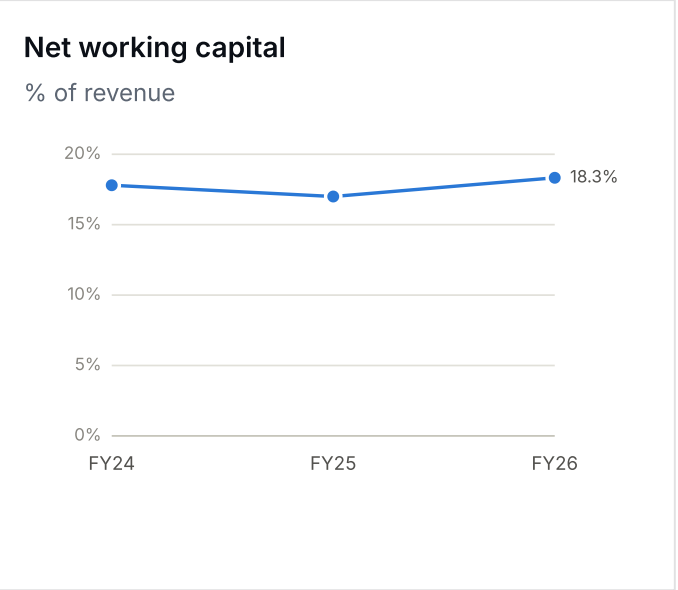
Rs crore











6. Future outlook and projections

Neutral case from the valuation model; Bear and Bull are in the valuation workbook.

- **Capacity and use:** with 59-64% utilisation in the main lines, revenue can grow for some years with maintenance and debottlenecking capex only (p. 132). Capital commitments were Rs 9.83 cr at Jun-26 (p. 87).
- **Use of the issue:** Rs 125 cr repays or prepays borrowings; Rs 15.77 cr buys out equipment leased from Siemens Financial Services; the balance (up to 25% of gross proceeds) is GCP; all to be deployed in FY27, with a monitoring agency appointed (pp. 117-118). The issue is a balance-sheet repair: finance cost (Rs 35.71 cr in FY26, 41% of EBITDA) is the main lever on profit.
- **Management priorities:** deeper share with existing appliance customers, value-added embossing and engineering blanks, and a lighter debt profile (p. 239 onwards).

Neutral projection used in the model (Rs crore):

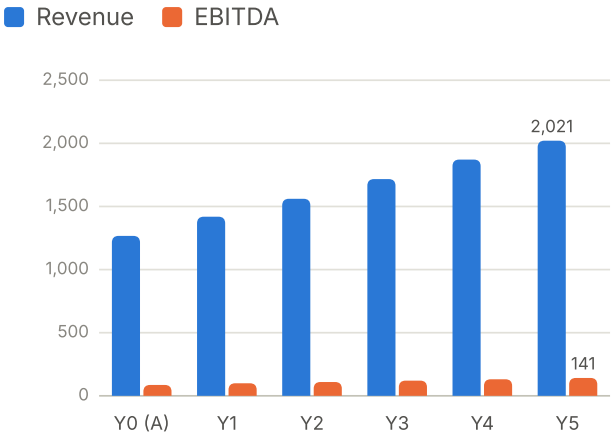
	FY26 actual	Y1	Y2	Y3	Y4	Y5
Revenue growth	20.0%	12%	10%	10%	9%	8%
Revenue	1,266.82	1,418.84	1,560.72	1,716.79	1,871.30	2,021.01

	FY26 actual	Y1	Y2	Y3	Y4	Y5
Adjusted EBITDA (7.0%)	86.09	99.32	109.25	120.18	130.99	141.47
Free cash flow to firm	-39.92	10.18	16.23	17.86	25.39	33.95

FY26 free cash flow was negative because inventory rose by Rs 73.6 cr and capex was Rs 54.80 cr; working capital is held at 18% of revenue in the projection, so cash flow follows growth.

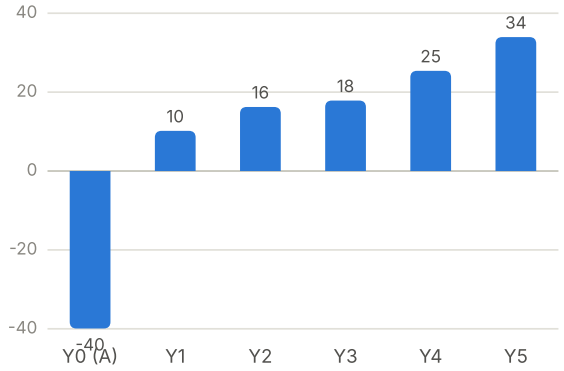
Projected revenue and EBITDA (Neutral)

Rs crore; Y0 is the latest audited year



Projected free cash flow to firm (Neutral)

Rs crore

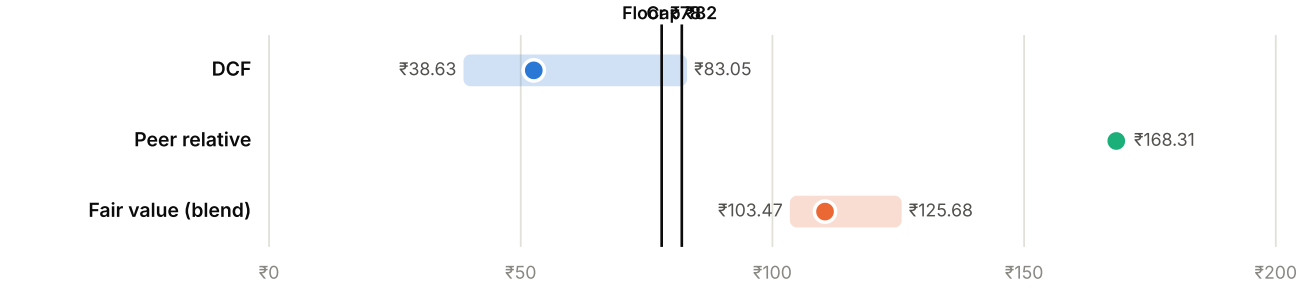


7. Valuation: DCF and peer comparison (P2P)

DCF and peer values shown separately, then blended. Reference: Upper band Rs 82 (RHP; NSE issue page). At Rs 82: 2.23 crore new shares, 6.28 crore post-issue; market cap Rs 515.2 cr; P/E 16.9x FY26 EPS post-issue (10.7x pre-issue; 13.2x pro forma for interest saved); P/B 1.61x; EV/EBITDA 7.0x. Oct-2025 private placement was at Rs 88.

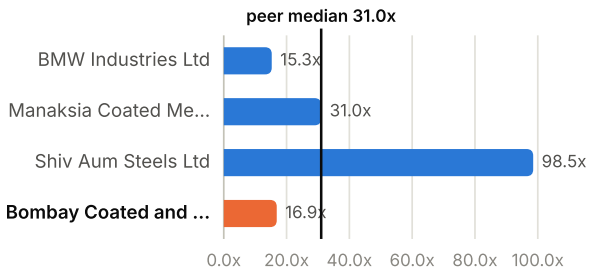
Value per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical lines mark the price band.



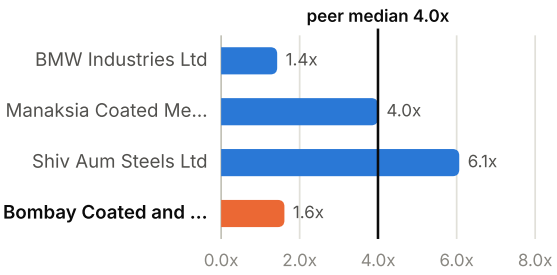
Peer P/E

Issuer at the reference price (orange) vs listed peers



Peer P/B

Issuer on post-issue net worth



Scenario summary

RS/SHARE	DCF	RELATIVE	FAIR VALUE	VS REFERENCE
Bear	₹38.63	₹168.31	**₹103.47**	26.2%
Neutral	₹52.59	₹168.31	**₹110.45**	34.7%
Bull	₹83.05	₹168.31	**₹125.68**	53.3%

WACC **14.3%**

Terminal value share of EV **84.5%**

Reverse DCF: what the reference price assumes

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	n.m. (FCF negative)	4.5%
implied WACC at terminal g	n.m. (FCF negative)	14.3%
required EBIT margin (steady state)	8.4%	5.8%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	18.3%

Current free cash flow is negative, so no multiple can be stated: the price assumes cash generation improves from here.

Sensitivity: WACC vs terminal growth

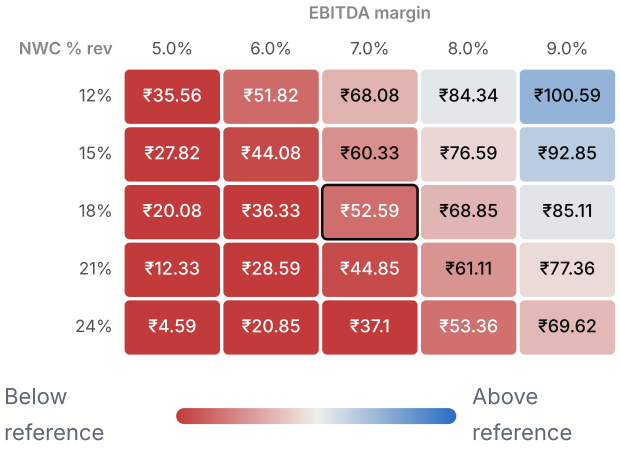
DCF value per share (Rs). Blue above, red below the reference.

WACC	Terminal growth 3.5%	4.0%	4.5%	5.0%	5.5%
12.3%	₹70.77	₹72.46	₹74.33	₹76.42	₹78.78
13.3%	₹59.99	₹61.04	₹62.18	₹63.43	₹64.81
14.3%	₹51.28	₹51.92	₹52.59	₹53.31	₹54.09
15.3%	₹44.13	₹44.49	₹44.85	₹45.23	₹45.63
16.3%	₹38.17	₹38.33	₹38.49	₹38.64	₹38.8

Below reference — Above reference

Sensitivity: working capital vs EBITDA margin

DCF value per share (Rs).



Peer comparison (P2P)

Peers are those in the RHP's "Basis for Issue Price" (p. 130): prices are closes on 21-Oct-2026 and FY26 standalone figures. P/E uses diluted EPS.

Company	CMP (Rs)	Revenue FY26 (Rs cr)	EPS (Rs)	NAV (Rs)	RoNW	P/E	P/B
BMW Industries	51.17	664.07	3.35	35.85	10.15%	15.3x	1.4x
Manaksia Coated Metals & Industries	129.69	884.46	4.18	32.46	11.96%	31.0x	4.0x
Shiv Aum Steels	539.00	532.53	5.47	88.86	4.73%	98.5x	6.1x
Bombay Coated at Rs 82 (post-issue)	82	1,266.82	4.86	50.88	25.12%	**16.9x**	**1.6x**
Peer median					10.15%	31.0x	4.0x

Read: Bombay Coated is the largest of the four by revenue and earns the highest return on net worth (25.12% against a 10.15% median), helped by leverage. BMW Industries, the closest pure processor, trades at 15.3x, close to the issue's 16.9x; the median is set by Manaksia Coated (31.0x), a coated-steel maker, and Shiv Aum (98.5x) is an outlier. The peer set is small and wide, so the relative value should be read with care.

DCF and fair value

Inputs (FY26 P&L; Jun-26 balance sheet; Rs crore): revenue 1,266.82; adjusted EBITDA 86.09; D&A 12.60; PAT 30.54; net worth 136.62; net debt 274.64 (borrowings 273.69 + leases 13.03 - cash and bank 12.07); trade working capital 232.20 (FY25 179.49); capex 54.80. Fresh issue Rs 183.06 cr credited in the equity bridge; no IPO capex (the lease buy-out replaces lease liabilities already in net debt).

Cost of capital (house CAPM, editable): risk-free 6.5%, beta 1.10, ERP 7.0%, size premium 2.0%, no company-specific premium; cost of equity 16.2%; pre-tax cost of debt 9.0%; debt weight 20%; **WACC 14.31%**; terminal growth 4.50%. Terminal value is 84.5% of enterprise value in the Neutral case.

Rs per share (at Rs 82, 6.2824 crore shares)	Bear	Neutral	Bull
DCF	38.63	52.59	83.05
Relative (peer-median P/E and P/B)	168.31	168.31	168.31
Fair value (50:50 blend)	**103.47**	**110.45**	**125.68**
Against Rs 82 (upper band)	+26.2%	+34.7%	+53.3%
Against Rs 78 (floor)	+32.7%	+41.6%	+61.1%

- **Scenario drivers:** FY27 growth 5% / 12% / 20%, then 5% / 8-10% / 10-15% a year; adjusted EBITDA margin 6.4% / 7.0% / 8.0%; working capital 19% / 18% / 16% of revenue; terminal ROIC 13% / 16% / 19%. Rationale and page cites are in the valuation workbook.
- **Why DCF and peers diverge (-69%):** the DCF values a 7%-margin business that ties up 18% of revenue in working capital, carrying Rs 275 cr of net debt, at a 14.3% discount rate; equity is a thin slice of enterprise value, so it is very sensitive. Listed peers trade at 15-99x earnings. The divergence is the finding: on cash flows alone the business is worth less than the price, while the market pays far more for listed steel processors.
- **Sensitivity (Neutral DCF, at Rs 82):** WACC 12.3-16.3% gives Rs 74-38; margin 6-8% gives Rs 36-69 (at 18% working capital); working capital 15-21% of revenue gives Rs 60-45. Margin is the biggest lever because of the leverage.
- **Earnings quality and the relative value:** the reported P/E is a fair measure (part 5), so the relative value needs no adjustment. The pro-forma interest saving is not added to the model's earnings.
- **Reverse DCF:** FY26 free cash flow was negative, so no multiple can be stated; the price assumes cash generation improves. To justify Rs 82 on the DCF alone needs a steady-state EBIT margin of about 8.4% against 5.8% now.

8. Areas to watch and growth drivers

Growth drivers to track

- **Utilisation:** slitting and cut-to-length moving from about 60% towards 70-75% (p. 132).
- **Margin:** adjusted EBITDA holding near 7.5-8% across the year, not only in the AC season (p. 131).
- **Deleveraging:** finance cost falling after the Rs 125 cr repayment; interest cover above 4x.
- **Working capital:** inventory back below 15% of revenue after the FY26 build (pp. 84, 132).
- **Customer base:** new appliance and engineering wins beyond Amber and Western Refrigeration (together 36.38% of FY26 revenue) (p. 35).

Points to monitor

Item	Now	Why it matters to an investor
Supplier dependence	JSW Steel Coated Products 86.65% of FY26 coils; terminable on notice (pp. 30-32)	The service-partner terms decide supply and margin
Sector dependence	Appliances 86.54% of product revenue (p. 37)	AC season and appliance cycle drive volumes
Customer concentration	Amber 20.40%; top-10 71.33% of FY26 revenue (p. 35)	Loss of one customer moves revenue materially
Subsidy income	Rs 6.39 cr in FY24, Rs 1.65 cr in FY26 (p. 375)	Scheme tenure affects reported profit
Compliance	RoC adjudication pending (pp. 32-33)	Back-office discipline after listing

Item	Now	Why it matters to an investor
Promoter loans	Rs 20.55 cr at interest (pp. 89-92)	Whether they are repaid or stay after listing

What would change our view

- **Firmer:** FY27 results showing margins near 8% for the full year and operating cash flow above PAT.
- **Weaker:** any change in the JSW Steel Coated Products arrangement; a weak appliance season; valuing the issue on the closest peer (BMW Industries, 15.3x) alone, which would bring the blend to about Rs 62, 25% below the price (Neutral under the rule).
- **Price:** the rule reads Subscribe up to about Rs 123 and Neutral up to about Rs 158, so the whole band is well inside Subscribe.

Risks

- Steel price volatility and inventory losses (p. 37).
- Supplier and customer concentration (pp. 30-31, 35).
- Appliance-sector slowdown and seasonality (p. 37).
- Working-capital needs as growth continues (p. 86).
- Regulatory action on past filing lapses (pp. 32-33).

9. Conclusion

CALL **Subscribe**

STAGE Mainboard · RHP

A four-plant steel processor feeding India's AC and refrigerator makers (FY26 revenue Rs 1,267 cr, up 20%; PAT Rs 30.5 cr), raising Rs 183 cr of fresh money mainly to repay debt, priced at 16.9x FY26 earnings after the issue (13.2x pro forma for lower interest), below the Rs 88 paid by investors in Oct-2025; fair value Rs 110 (Neutral) against Rs 82.

Business stage Scaling (new plants built; filling capacity)

Subscribe at Rs 82 (upper band).

The investment case. Bombay Coated is a four-plant steel processor embedded in India's air-conditioner and refrigerator supply chain, with JSW Steel Coated Products as its coil partner and Amber, Western Refrigeration, Haier, PG Technoplast and Dixon as customers. Revenue grew 29.5% a year over FY24-26 to Rs 1,267 cr, Q1 FY27 was the strongest quarter yet (margin 8.1%, PAT Rs 15.1 cr), and plants run at about 60% of capacity, so volume can grow without heavy capex. The issue is all fresh money and mostly repays debt, which should lift reported profit by about a quarter through lower interest. The reported P/E is a fair measure of its earnings.

What holds the value down. Thin margins (2.4% PAT), leverage before the issue (2.8x debt/equity at FY26), dependence on one supplier and one end-market, and weak cash conversion in a growth year (CFO 67% of PAT over three years). The filing lapses and a newly constituted board are governance points to follow, not material issues.

Valuation. At Rs 82, fair value is Rs 103 / **Rs 110** / Rs 126 (Bear / Neutral / Bull), +34.7% in the Neutral case. **Call rule:** the Neutral value is above the price, so the call is **Subscribe**. The band is below the Rs 88 at which outside investors bought in Oct-2025, and values the company at 16.9x FY26 earnings after the issue (13.2x pro forma

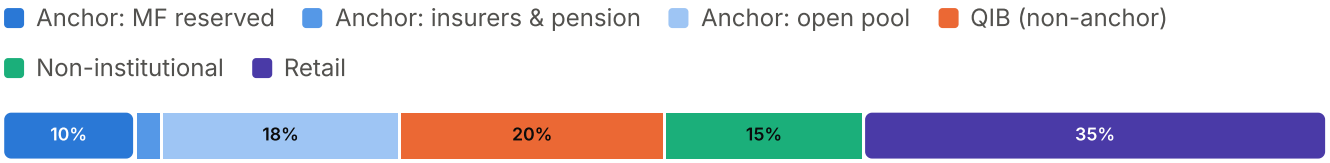
for lower interest) and 7.0x EV/EBITDA. The caution: the relative value leans on a wide peer set (15-99x) while the DCF alone (Rs 53) is below the price; on the closest peer alone the call would be Neutral.

Appendix

Offer structure and lock-ins, lead managers' track record, diligence checks and supporting detail.

Issue split by investor category (Rs 183 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Anchor - tranche 1	33.49	30
Anchor - tranche 2	33.49	90
Pre-issue non-promoter shareholders (incl. Oct-2025 placement at Rs 88)	9	180
Promoter holding above 20% of post-issue capital	270.35	180
Promoters' minimum contribution (20% of post-issue capital)	125.65	540

Diligence checks

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✓ PASS	3:1 bonus (08-Jul-2025) and the 9,00,091-share placement at Rs 88 (28-Oct-2025) are reflected: FY26 EPS Rs 7.64 is on 3,99,79,764 weighted shares; 4,05,00,091 shares now.	pp. 99-100, 128
2	Cash flow vs profit	! WATCH	Operating cash flow Rs 11.49 / 32.09 / 10.22 cr FY24-26 against PAT Rs 21.14 / 28.67 / 30.54 cr: cumulative CFO/PAT 67.0% while revenue grew 30% a year and inventory rose Rs 73.6 cr in FY26. Q1 FY27 CFO Rs 72.31 cr (PAT Rs 15.08 cr) as inventory was released.	p. 86
3	Current vs deferred tax	✓ PASS	Current tax 19.6% of cumulative FY24-26 PBT plus deferred tax (accelerated depreciation on new lines); income tax paid Rs 21.14 cr over three years.	p. 85
4	Related-party capex & subsidiaries	! WATCH	Promoters and relatives lend the company Rs 20.55 cr (Jun-26) at interest (Rs 3.08 cr in FY26) and rent it premises (Rs 0.52 cr in FY26); managerial pay Rs 0.66 cr to three promoter directors in FY26. Disclosed and typical of a promoter-funded company.	pp. 89-92
5	Objects arithmetic as price floor	– N.A.	Amount-based fresh issue (Rs 183.06 cr): Rs 125 cr repays borrowings, Rs 15.77 cr buys out Siemens equipment leases, balance GCP (cap 25%). No fixed share count, so no objects floor.	p. 117
6	Revaluation reserve	○ OPEN		
7	Goodwill vs tangible equity	✓ PASS	No goodwill or intangibles.	p. 84
8	Customer / supplier / geographic concentration	! WATCH	JSW Steel Coated Products supplied 86.65% of FY26 steel coils (85.13% in Q1 FY27); appliances 86.54% of FY26 product revenue; top customer (Amber Enterprises) 20.40% and top-10 71.33% of FY26 revenue. Typical of a service centre tied to one mill and the appliance PLI ecosystem.	pp. 34-35
9	Contingent liabilities	✓ PASS	No contingent liabilities; capital commitments Rs 9.83 cr (Jun-26).	p. 87
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	✓ PASS	Shah Shah & Shah (peer-reviewed); no qualifications.	p. 82
R2	CARO / audit trail	! WATCH	25 delayed RoC filings over five years and a 2021 allotment to a promoter filed with the wrong form; adjudication application (06-Jan-2026) still pending before the RoC. Procedural; no penalty yet.	p. 32
R3	Monitoring agency	✓ PASS	Monitoring agency appointed for the use of proceeds.	p. 117
R4	Eligibility re-computation	○ OPEN		
R5	SME conditions	– N.A.	Mainboard issue under Reg 6(1).	cover

#	CHECK	RESULT	FINDING	PAGE
R6	Lead-manager track record	○ OPEN	Smart Horizon Capital Advisors: track record of past issues not compiled in this run.	
R7	Firm means of finance	○ OPEN		

Under the Fund's rules a check is marked Fail only for a material issue; normal features of the business are Watch items, covered in part 8.

Appendix A: Offer, anchor book and lock-ins

- **Structure:** fresh issue Rs 183.06 cr (about 2.23 crore shares at Rs 82); no OFS; QIB up to 50% (anchor up to 60% of that, about Rs 54.9 cr), NII at least 15%, retail at least 35% (p. 117; NSE issue page).
- **Objects:** repayment of borrowings Rs 125 cr; acquisition of equipment under Siemens Financial Services leases Rs 15.77 cr; GCP up to 25% of gross proceeds; all in FY27 (pp. 117-118).
- **Share history:** incorporated 2019; 2021 allotment to the founder for the Bombay Steels business (Rs 8.76 cr consideration); rights issues at Rs 10 (2021, 2023); 3:1 bonus on 08-Jul-2025; private placement of 9,00,091 shares at Rs 88 on 28-Oct-2025; 4,05,00,091 shares now (pp. 99-105). Weighted average cost of shares acquired in the last three years Rs 2.59 (p. 113).
- **Anchor book:** anchor bidding on 28-Oct-2026; the allocation report is on nsearchives.nseindia.com, which is not reachable from this environment.
- **Lock-ins:** promoters' minimum contribution (20% of post-issue capital) for 18 months and the excess promoter holding for six months from allotment; other pre-issue holders six months; anchor shares 50% for 30 days and 50% for 90 days (p. 106).

Appendix B: Merchant bankers

Smart Horizon Capital Advisors Private Limited (sole BRLM). The RHP refers to its website for the track record of past issues (p. 489); it has not been compiled in this run. It also manages the Wiscon Industries SME issue.

Appendix C: Diligence checks

#	Check	Status	Finding
1	Bonus and share count	PASS	Jul-2025 bonus and Oct-2025 placement reflected; FY26 EPS Rs 7.64 (pp. 99-100, 128)
2	Cash flow vs PAT	WATCH	Cumulative CFO/PAT 67.0% FY24-26; Q1 FY27 CFO Rs 72.31 cr (p. 86)
3	Current vs deferred tax	PASS	Current tax 19.6% of cumulative PBT plus deferred (p. 85)
4	Related-party dealings	WATCH	Promoter-family loans Rs 20.55 cr at interest; rent (pp. 89-92)
5	Objects as price floor	N.A.	Amount-based fresh issue (p. 117)
7	Goodwill	PASS	None (p. 84)
8	Concentration	WATCH	JSW 86.65% of coils; appliances 86.54%; Amber 20.40%; top-10 71.33% (pp. 30, 35, 37)
9	Contingent liabilities	PASS	None; commitments Rs 9.83 cr (p. 87)
R1	Auditor	PASS	Peer-reviewed; no qualifications (p. 82)
R2	Statutory compliance	WATCH	25 delayed RoC filings; adjudication pending (pp. 32-33)
R3	Monitoring agency	PASS	Appointed (p. 117)
R6	BRLM track record	OPEN	Not compiled

No check met the Fund's test for a material issue.

Appendix D: Data gaps and verification

Data gaps

Item	Severity	Where to source
Anchor allocation (investors, MF share)	Medium	NSE anchor allocation report (nsearchives, blocked here)
Subsidy scheme and remaining tenure	Medium	Issuer
JSW Steel Coated Products agreement (full terms)	Medium	Material documents for inspection (p. 584)
RoC adjudication outcome	Low	Post-listing disclosures
RHP timetable prints refund, credit and listing dates as "2025" (p. 494)	Low	Prospectus; read as 4-5 Nov 2026
Smart Horizon track record	Low	BRLM website

Verification

- **Restated P&L reproduces:** FY26 total income Rs 1,269.83 cr less expenses Rs 1,229.04 cr = PBT Rs 40.79 cr; less tax Rs 10.25 cr = PAT Rs 30.54 cr (p. 85).
- **Balance sheet balances:** Jun-26 total assets Rs 526.11 cr = total equity and liabilities Rs 526.11 cr (p. 84).
- **EBITDA reproduces the KPI table** for FY26 (Rs 86.09 cr, part 5; p. 131).
- **Peer multiples reproduce:** CMP divided by diluted EPS from p. 130 (the RHP prints BMW's P/E as 14.98x).
- **Workbooks:** the toolkit verification gate passed on this build.

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